

SOTIRIOS PAROUTIS . LOIZOS HERACLEOUS . DUNCAN ANGWIN

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STRATEGIC LEADERSHIP AND INNOVATION AT APPLE INC.¹

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Apple, Inc. is actually four diverse and thriving companies all wrapped up into one. It's a hardware company, a software company, a services company, and a retail company. Most technology companies in the world can manage one or two of these disciplines, but only Apple has all four entities working in harmony. (Bajarin, 2011)

Back in 1997 few would have thought that Apple Computers would one day be recognized as one of the most innovative companies in the world, transcending the barriers of the computer industry to compete in the consumer electronics, telecommunications, and music industries (see Figure 13.1 for an outline of Apple's product and service portfolio). Since the return of Steve Jobs to the company, Apple rose from a \$2 billion company in 1997 to nearly \$417 billion in 2011, overtaking Exxon Mobil to become the world's most valuable company by market capitalization in August 2011 (*Economist*, 2011a). In 2010 Apple surpassed Microsoft in market capitalization, which was regarded as an important milestone in the technology industry (Rusche, 2011). By the end of March 2012, Apple's market capitalization rose to \$573bn, more than twice that of Microsoft at \$273bn; and it accounted for 4.5% of the S&P 500, and 1.1% of the global equity market (*Economist*, 2012). The company's upward trajectory continued, and by March 2015 Apple Inc was still the most valuable company in the world, worth over \$719bn. In comparison, Google was worth \$380bn, Exxon Mobil \$351bn, and Microsoft \$336bn.

Building on innovative products that have redefined their markets (such as the iPod, the iPhone, and the iPad), a consumer base as loyal as a fan club, and a business model characterized by integration of products and services, lean operations, and operational synergies that no

¹This case was prepared by Professor Loizos Heracleous and Angeliki Papachroni for the purposes of class discussion and is not meant to illustrate effective or ineffective handling of administrative situations. Warwick Business School, loizos.heracleous@wbs.ac.uk, March 2015.

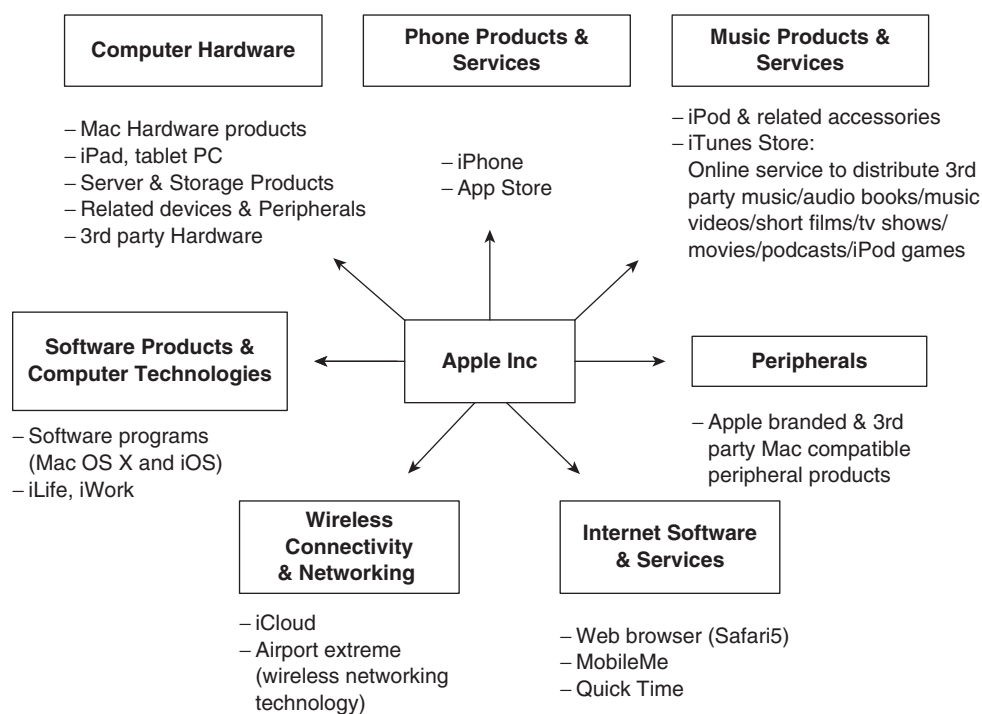


FIGURE 13.1 Apple Inc. Key Product and Service Portfolio

Source: Authors.

competitor could easily imitate, Apple outperformed its competitors and the market. In 2011, the year that Steve Jobs died, Apple reported \$108bn in revenues – up from \$65bn in 2010 – and \$26bn net income and nearly \$82bn in cash reserves (Nuttall, 2011). (See Tables 13.1 and 13.2 for an outline of Apple’s financial performance during 2009–11). By the year ending September 2014, Apple had revenues of \$182bn and cash reserves of \$155bn. Operating income stood at 28.7%, and net income at 21.6% (Annual Report, 2014). Apple Inc’s financial statements and sales by segment are included in Tables 13.1 and 13.2.

JOBS’ TURNAROUND AND REBUILDING AN INNOVATIVE ORGANIZATION

Things haven’t always been that rosy for the company once known as the underdog of the computer industry. During the time when Steve Jobs was away from the organization (1985–97) Apple progressively degenerated to the point of struggling for survival. Apple charged premium prices and operated through a closed proprietary system, at a time when more economical, IBM-compatible PCs gained mass appeal. Its cost base was high compared to its major competitors.

This combination of factors led to shrinking market share and lower profitability. Apple lost momentum in the PC industry, despite the effort of three different CEOs to reverse the downfall (see Table 13.3 for a timeline of Apple's CEO tenures). John Sculley attempted to gain market share (at the time around 7%) by introducing lower priced products that still had a technological edge, forged alliances with IBM to work on a joint operating system and multimedia applications, and outsourced much of manufacturing to subcontractors to cut costs. A joint alliance was also formed with Novell and Intel to reconfigure Apple's OS to run on Intel chips. By the end of Sculley's tenure in 1993 however, market share was still at around 8%, and Apple's gross profits had reduced from around 50% to 34% (Yoffie and Slind, 2008).

During Spindler's tenure, the alliances with Intel and Novell, as well as with IBM, were exited, and a decision was taken to license Apple's OS to companies that would make Mac clones (a decision subsequently reversed by Jobs in 1997). There was focus on international growth, and more cost-cutting efforts. With performance remaining flat, Spindler was replaced by Gil Amelio. In 1996, under Amelio, Apple went through three successive restructurings and further cost cutting. At the same time, Amelio aimed to return Apple to its premium price, differentiation strategy (Yoffie and Slind, 2008). The biggest challenge at the time was the release of Apple's new-generation operating system in response to the release of Microsoft's Windows 95, which had received great attention upon its release one year earlier. Apple's OS system named Copland, on the other hand, was so behind schedule that the company decided to turn to external help. Ironically, Apple turned to NeXT, a software company founded by Steve Jobs after his departure from Apple in 1985. Meanwhile, Apple's market share fell to 3% and Amelio was forced out by the board of directors.

After NeXT's help with the new version of Apple's operating system, Apple's executive board resolved to buy the company. A year later, in July 1997, Jobs was offered the title of Apple's CEO, after spending a few months as a consultant at Apple. This was a crucial time in the company's history. Apple's stock had sunk to \$3.30 and the company reported a net loss of \$708 million in its second quarter that year, flirting with bankruptcy. At the same time competitors such as Dell and Microsoft were thriving, following the tech boom of the late 1990s. Jobs took on the role of Interim CEO in 1997 and then became CEO during 2000.

The return of Steve Jobs to Apple in 1997 marked the beginning of a new era for the company. Jobs worked for a salary of \$1 per year for 30 months (and plenty of stock options), leading Apple's successful turnaround. His priority was to revitalize Apple's innovation capability. "Apple had forgotten who Apple was," as he noted in an interview (Burrows, 2004), stressing that it was time for Apple to return to its core values and build on them. At the time, Michael Dell was asked at an investor conference what Jobs should do with Apple. He replied "I'd shut it down and give the money back to the shareholders" (Burrows and Grover, 2006).

According to a former Apple executive who participated in Jobs' first meeting with the top brass on his return to Apple, Jobs went in with shorts, sneakers, and a few days' beard, sat on a swivel chair, spun slowly, and asked them what was wrong with Apple. Jobs then exclaimed that it was the products, and that there was no sex in them anymore (Burrows and Grover, 2006). Upon taking charge, Jobs announced that Microsoft would invest \$150m in Apple, reaffirming its commitment to producing Microsoft Office and other products for the Mac, and soon scrapped the Mac OS licensing program, that he believed was cannibalizing Mac sales (Yoffie and Slind, 2008). He axed 70% of new products in development, kept 30% that he

believed were “gems,” and added some new projects that he believed could offer breakthrough potential. He also revamped the marketing message to take advantage of the maverick, creative Apple brand, and re-priced stock options to retain talent (Booth, 1997).

In January 2000, when Apple became profitable with a healthy share price, Apple announced that it would buy Jobs a Gulfstream V jet, at a cost of \$88m, fulfilling Jobs’ request for an aeroplane so he could take his family on vacation to Hawaii and fly to the East coast. Larry Ellison, Oracle CEO and a board member at Apple, said at the time, “with what he’s done, we ought to give him five airplanes!” (Elkind, 2008). Between 2003 and 2008 Apple’s sales tripled to \$24 billion and profits increased to \$3.5 billion, up from a mere \$24 million. Apple topped the list of Fortune 500 companies for total return to shareholders both over 2003–8 (94% return) as well as over 1998–2008 (51% return) (Morris, 2008: 68), a remarkable achievement.

In January 2007, Apple Computer changed its name to Apple Inc. (Yahoo finance, 2008), signifying a shift away from its computer vendor roots. Since 2006, revenues from desktop and portable computers were accounting for less than half of Apple’s total revenues; and by 2011, just one fifth. By early 2007, Apple had come a long way: it had produced the world’s fastest personal computer, introduced a series of attractive new Macintosh models with a reliable, competitive operating system known for its astonishing backward compatibility, created a cult following of iPod users, and begun its inroads into the mobile phone industry with the iPhone.

REDEFINING THE PC INDUSTRY

Upholding the value of user friendliness, Steve Jobs led the launch of the first iMac in 1998, his first project after his return to the company. The iMac, or “the computer for the rest of us,” its slogan when it was launched, revolutionized desktop computing by combining technological advancements and unique design. The combination of a CPU, a CD ROM drive and a modem all packed in a translucent case, that could support all “plug and play” peripherals that were designed for Windows-based machines, for the compelling price of \$1,299, marked Apple’s dynamic comeback. Even though the iMac was the fastest selling Macintosh model ever, Apple refused to rest on its laurels, continually updating its hardware and operating system, and launching newer models and software almost every four months. Most importantly the iMac was the first Apple product with wide consumer acceptance, since 70% of sales were Apple converts, adding to the Macs already in use, helping Apple double its worldwide market share to 6% by the end of 1998 (Linzmayr, 2004).

In parallel, Steve Jobs proceeded to simplify Apple’s product mix in terms of four lines of desktop and portable computers designed for both the professional and consumer markets. Following the iMac’s success, the iBook was launched in 1999. This consumer portable computer featured an optional AirPort wireless networking hub that allowed up to ten Macs to share an Internet connection. Just six weeks after the iBook’s unveiling, Apple had received more than 140,000 advance orders, making it a success equal to the iMac (Linzmayr, 2004).

After the introduction of the iMac and the iBook, Apple’s figures looked a lot healthier. In October 1999 Apple announced its eighth consecutive profitable quarter and closed that fiscal year with revenues of \$6.1 billion and net earnings of \$601 million. Whereas most of Apple’s

innovations led to an even more closed Apple archipelagos (software and hardware integration), at the same time Jobs decided to loosen control in other areas, for example the use of standard interfaces, such as the USB port. This change made the Mac a more open system since users of a Mac Mini for example could use a non-Mac keyboard (Yoffie and Slind, 2008). In the years to follow, a variety of innovative proprietary applications, developed in-house, supported the Macintosh product lines. These include programs such as Apple's own Web browser, Safari, developed in 2003, as well as those in the iLife package (iDVD, iMovie, iPhoto,) that offered editing and creative opportunities to users.

GROWING THE APPLE ECOSYSTEM: BREAKTHROUGH INNOVATION IN THE CONSUMER ELECTRONICS AND ENTERTAINMENT INDUSTRIES

In 2001 Apple introduced its first iPod, launching a new era for the company as it entered the consumer electronics industry. Capitalizing on the emerging trend of MP3 music, Apple introduced a breakthrough product that soon became synonymous with the MP3 music player category. With impeccable design and easy to use menu, the iPod could load 1000 songs in just 10 minutes and play music for 10 hours. The integration with the iTunes 2.0 software also enabled easy synchronization of music libraries. A year later, in 2002 Apple released iPods with larger memory that were compatible with Windows, a move that further pushed iPod sales. By the end of 2003 more than one million iPods were sold, marking the first substantial stream of revenues apart from the Macintosh. Since then the iPod product range has been renewed every three to five months and the company announced in 2007 that it sold the 100-millionth iPod. These numbers made the iPod the fastest selling music player in history (Apple, 2007).

One the most important innovations for Apple has been the launch of the iTunes Music store in 2003, a revolutionary service through which consumers could access and purchase online music for only \$0.99 per song. The iTunes Music Store was compatible with all iPods (running both on Macs as well as Windows-based computers) and served as Apple's Trojan horse to what Jobs had envisioned as the digital hub where digital content and Apple devices would be seamlessly interconnected. The downloaded songs had royalty protection and could only be played by iPods, bringing the interoperability between Apple's hardware, software, and content to a new level and creating higher barriers to entry into this ecosystem. iPods had the capacity to display videos and through them Apple became a significant distributor of movies and TV shows. Five years after entering the music business, Apple surpassed Walmart to become the largest music retailer in the USA (McCracken, 2011a).

Apple's next groundbreaking innovation was the iPhone, a device combining a phone, a music player, and a personal computer that redefined the mobile phone industry in the same way iPod and iTunes revolutionized the music industry. According to Jobs, "It was a great challenge: Let's make a great phone that we fall in love with. Nobody had thought about putting operating systems as sophisticated as an OS X inside a phone, so that was a real question" (quoted in Morris, 2008: 69). iPhone's success has been attributed not only to its technological capacity but also to its design: "We had a different enclosure design for this iPhone until way

too close to the introduction to ever change it. And it came one Monday morning and I said: I just don't love it. And we pushed the reset button. That happens more than you think because it is not just engineering and science. There is art too." (Jobs quoted in Morris, 2008: 70). According to Burrows and Grover (2006), "Jobs' true secret weapon is his ability to meld technical vision with a gut feel of what regular consumers want and then market it in ways that make regular consumers want to be part of tech's cool club." The success of the iPhone has been phenomenal. In 2011 alone, iPhone handset sales reached 72.3 million units, up from nearly 40 million in 2010 (see Table 13.1).

In 2008 Apple launched the App Store, the only authorized service for loading programs onto the iPhone. The App Store was based on the same principle of seamless integration between hardware and software, giving Apple 30% of third-party developers' revenues along the way. Although Apple followed a particularly strict policy regarding the authorizing of applications, the App Store still gave the iPhone a vast selection of desirable applications, adding precious content to the iPhone offering (McCracken, 2011a).

The Apple ecosystem was further reinforced in 2010, with the introduction of the iPad, a tablet computer that aimed at revitalizing a niche and up till then commercially risky product category. Whereas the iPad was initially received with some skepticism, Jobs' intuition proved correct. Within its first year of release, Apple sold 14.8 million iPads (McCracken, 2011a) and with the launch of the iPad 2 sales rose further to an astonishing 32 million in 2011 (see Table 13.1), giving Apple two-thirds of the tablet computer market. Spurred by the iPad's success, the tablet computer market grew to approximately \$35bn in 2012 (*Economist*, 2011b). At the same time, the traditional PC market experienced stagnation, marking what was seen as the first signs of the post-PC era (Forbes, 2012a).

During the launch presentation of the iPad Jobs revealed that the company was already in agreement with top publishers such as Penguin and Simon & Schuster for the creation of specially made books to be purchased online at the new iBooks store. Applications were also available for the electronic version of major newspapers such as the *New York Times*. Further, the iPad was designed so that most of the 140,000 gaming applications already available at the App Store, could run on it straight away, turning it into a key gaming platform. In order to ensure that the iPad was seen as more than an entertainment gadget, the iWork software (including word-processing, spreadsheet, and presentation software) was also updated. The iPad was priced at \$499 for the basic version and \$829 for one with larger memory and a 3G wireless connection, making it premium priced but approachable for consumers (*Economist*, 2010).

In October 2011, Apple introduced iCloud, a cloud service for storing music, photos, applications, calendars, and documents that can be wirelessly transferred to multiple iOS devices, Macs, and Windows-based computers. During its first three months of release 85 million customers had signed up (Elmer-DeWitt, 2012). iCloud came with 5GB of free space while additional space could be purchased from Apple. By providing a means of integrating the use of multiple Apple devices iCloud marked a key strategic move towards a mobile Apple ecosystem (Satariano and Burrows, 2011).

In early 2015 the market was eagerly awaiting the commercialization of the Apple Watch, a re-invention of the watch as a lifestyle gadget which could exploit Apple's enviable cache of apps including health, financial, travel, and entertainment. Apple billed the watch as "the most personal product we've ever made, because it's the first one designed to be worn"

(Apple Inc, 2015) and would introduce three editions at different price points; a regular model, a sports model, and a luxury model.

THE COMPETITIVE LANDSCAPE

Given Apple's diversified product portfolio, competition includes companies from various industries; from computer hardware and software to mobile communications and internet. In that context apart from traditional competition from PC manufacturers who have struggled to keep up in the mobile, what some have called post-PC era, Apple's increasing role in content distribution has brought the company a new set of competitors such as Amazon and Google (Bajarin, 2011).

The giants: IBM and Microsoft

By 2015, the computer technology industry had undergone some profound changes that shaped the competitive context within which Apple operated. IBM, the once undisputed leader in PC manufacturing, had gradually moved away from its traditional territory of computer hardware and with a focus on computer technology, research, and service consulting became a very different company from what it used to be in the 1990s. In 2014 IBM had sales of \$92.8 billion in services, software, and hardware to businesses and governments. Its market capitalization in March 2014 was \$162bn, and its profitability was healthy, with an operating margin of 21.4% and a net margin of nearly 13%.

IBM's acquisition of PwC Consulting in 2002 marked the company's serious entry into the business services sector (Doz and Kosonen, 2008: 38). After selling its PC and laptop business to Chinese company Lenovo in 2005 (a segment it had itself created) to allow a higher strategic focus on services, and higher end servers, IBM's strategy also moved to encompass open business approaches. IBM was a significant contributor to open source movements such as Linux by investing in the program's development, growth, and distribution (Linux is supported on all modern IBM Systems) and in 2005 the company gave away approximately 500 software patents (valued over \$10 million) with the aim of enhancing global innovation and profiting from newly created business opportunities. Through these actions, IBM aimed to enlarge the global market for IT products and services and to benefit by responding to this demand. IBM made over 50 acquisitions during 2002–7, building a portfolio around “networked, modularized and embedded technologies, including service-oriented architecture (SOA), information on demand, virtualization and open, modular systems for businesses of all sizes” (IBM Annual Report, 2007: 2). With IBM exiting the PC manufacturing industry the competitive environment in this front included HP, Dell, Acer, and Lenovo.

Following the launch of the IBM PC, Microsoft dominated the PC operating system market mostly because it offered an open standard that multiple PC makers could incorporate into their products. Windows OS became the dominant operating system in the industry with more than 85% of all PCs in the world running on some Windows version (Yoffie and Slind, 2008). By 2009 Microsoft faced increased competition in the software front from Apple, HP, IBM, and Sun Microsystems, as well as Linux OS derived from UNIX. Microsoft's portfolio also included the

online search and advertising business (MSN portals, Live Search, etc.) in which the company sought to invest further. In 2009 after a long period of speculation Microsoft and Yahoo joined forces in the internet-search business in an effort to respond to Google's market domination (BBC, 2009). Microsoft's position in the entertainment industry was holding strong with the Xbox 360 console selling 13.7 million units in 2011 (Microsoft Annual Report, 2011). Microsoft's revenue reached \$93.5 billion in fiscal year 2014, with an operating profit margin of 30.6% and net margin of 22.1%. By 2014 Microsoft was facing new challenges stemming from stagnating growth of the PC industry due to increased interest in mobile devices such as smartphones and tablet PCs, leading to a gradual decline in its Windows revenues. As a competitive response Microsoft released its Mobile Operating System, Windows Phone in 2011 as part of a partnership with Nokia; and announced an update of its Windows OS for tablet PCs (New York Times, 2012a).

The computer vendors: Hewlett-Packard, Dell, and Lenovo

After the acquisition of Compaq in 2002, which brought significant scale in its desktop and laptop product lines, HP became the world's largest PC vendor, surpassing rival Dell in 2007 with a 3.9% market share lead. By 2011 the company's revenue was \$125 billion, making it the world's largest technology company in terms of revenues; even though its profitability was relatively thin, at 8.4% operating profit margin, and 4.75% net profit margin (and market capitalization of \$48.2bn in mid-March 2012); reflecting the intense levels of competition in the computer hardware industry. By the fiscal year 2014, HP's revenues declined to \$110bn, with operating profits remaining at 8% and net profits at 4.5%; with a market capitalization of \$60bn in March 2015. HP's portfolio included personal computing, imaging and printing-related products and services, as well as enterprise information technology infrastructure, including enterprise storage and servers, technology support and maintenance, consulting and integration and outsourcing services. After experiencing a turbulent period due to an unsuccessful effort to enter the mobile business, in 2011 HP was the largest PC manufacturer in the world with 17.6% share of worldwide PC shipments in the first quarter of 2011 (Shukla, 2011). If tablet PCs, however, are included in the global PC market, HP has been overtaken by Apple as market leader due to the stellar success of the iPad from 2011 onwards (Mellow, 2012).

Dell Inc. offered a range of product categories including desktop personal computers, servers and networking products, storage, mobility products, software and peripherals, and services. It was the first computer company to sell customized PCs directly to consumers without using intermediaries. Once the leading PC vendor in terms of both profitability and market share, Dell faced increased competition in the desktop and notebook business that made it difficult to sustain its earlier growth and profitability rates.

Although Dell had based its success in its distinctive business model of direct sales and built to order manufacturing, in 2011 the company was surpassed by China-based Lenovo, which rose to second place in the PC market after HP with sales of more than 12 million units, growing by more than 25% over the previous year. Dell had \$62bn of revenues in 2011, with relatively thin profitability of 7.2% operating margin and 5.6% net margin, with a market value in March 2012 of \$30.6bn. By 2012 Lenovo announced its very own cloud strategy to integrate its line of personal computing, smartphones and tablets marking its aspired transformation from a hardware manufacturer to a

“solutions provider” (New York Times, 2012b). In October 2013 Dell went private, acquired by its founder Michael Dell and technology investment company Silver Lake Partners, in a \$25bn deal.

Emerging competition: Google, Amazon, and Samsung

Apple’s ecosystem of products topped with the iCloud strategy, was faced with several competitors including Amazon, Google, and Samsung. Apart from being the biggest online retailer with \$89bn revenues in 2014, Amazon also offered its own cloud service. With products and services that span digital music, movies, books, TV shows, and consumer electronics, Amazon was a leading competitor in the digital content market (Bajarin, 2011). Amazon’s tablet proposition, the Kindle Fire challenged the iPad due to its low entry price: \$199 versus \$499 for the iPad 2 (Forbes, 2012b); even though its aesthetics and functionality were below those of the iPad, but improving. Reflecting the challenging nature of Amazon’s markets, its profit margins were razor thin or negative. In 2014, its operating margin was 0.2% and net margin was -0.27%, with a market value of \$174bn in March 2015.

At the same time, Google with its Chrome browser and its Android operating system that run on both tablets and smartphones was a credible challenger in these product-markets. Contrary to Apple’s ecosystem approach, Google made its Android system available to be installed on a variety of different handsets by Sony, Motorola, Samsung, LG, and others. Android’s code was open for manufacturers and developers whose applications were available at the Android Market. By fiscal year 2014, Google had revenues of \$66bn, operating profits of 25.6%, net profits of 21.9% and market value of \$380.9% in March 2015. Samsung, a South Korean conglomerate operating in the mobile telecommunications, consumer electronics, information technology, healthcare, and other sectors, became a leading competitor in mobile phone and tablet devices through offering high quality, keenly priced hardware based on the Android operating system. As a corporation, Samsung had revenues of \$186.6bn, with operating margin of 12.1% and net margin of 11.2%, and a market value of \$192bn in March 2015.

PLAYING WITH DIFFERENT RULES

Deep Collaboration

Long before it was voted as the world’s most innovative company, Apple had placed its trademark on a long list of technological breakthroughs including the mouse, the graphical user interface, color graphics, built-in sound, networking and wireless LAN, FireWire, and many more (some of which, such as the mouse and graphical user interface were inspired from Steve Jobs’ visit to Xerox Parc in 1979). Apple’s approach over the years had been to make use of a personal computer as easy and intuitive as possible through developing a highly responsive operating system, establishing standard specifications to which all applications’ software packages were expected to conform, strict control of outside developers, and delivering computers with high performance (Cruikshank, 2006).

Apple’s innovations enhanced the consistency across applications, which translated to ease of use, an attribute that helped to explain to some extent Apple’s loyal consumer base.

Another significant characteristic of Apple's approach to innovation was the diffusion of innovation across the value chain (Cruikshank, 2006) with both high-end and mid-market products that appealed to a wide audience ranging from amateurs to professionals. According to Jobs, "Apple's DNA has always been to try to democratize technology. If you make something great then everybody will want to use it" (quoted in Morris, 2008: 69).

Many of the disruptive innovations Apple has introduced are based on what employees call "deep collaboration," "cross pollination," or "concurrent engineering." This refers to products not developed in discrete stages but by "all departments at once – design, hardware, software – in endless rounds of interdisciplinary design reviews" (Grossman, 2005). In an interview about how innovation is fostered in the company, Jobs noted that the system for innovation is that there is no system: "The reason a lot of us are at Apple is to make the best computers in the world and make the best software in the world. We know that we've got some stuff that (is) the best right now. But it can be so much better. ... That's what driving us ... And we'll sleep well when we do that" (quoted in Cruikshank, 2006: 25).

Although Apple has been envied for its ability to catch the wave in new technology fronts earlier than competitors (such as in the case of iTunes and the iPhone) Jobs describes it as a rather slow process:

Things happen fairly slowly, you know. They do. These waves of technology, you can see them way before they happen, and you just have to choose wisely which ones you are going to surf. If you choose unwisely, then you can waste a lot of energy, but if you choose wisely, it actually unfolds fairly slowly. (Jobs, quoted in Morris, 2008: 70)

Sticking with a Proprietary Ecosystem

In a world filled with junky devices, clunky software, inscrutable error messages and annoying interfaces, Jobs' insistence on a simple, integrated approach led to astonishing products marked by delightful user experiences. Using an Apple product could be as sublime as walking in one of the Zen gardens of Kyoto that Jobs loved ... Sometimes it's nice to be in the hands of a control freak. (Isaacson, 2011)

Apple's innovations have redefined existing product categories such as music players and mobile phones, and helped the company successfully enter hotly contested new markets such as the entertainment industry. Key to these achievements have been the focus on design, the consumer experience, and the seamless integration of hardware and software and content. The tight integration of its own operating system, hardware and applications, has been a strategy followed diligently by Apple. As Steve Jobs says: "One of our biggest insights [years ago] was that we didn't want to get into any business we didn't own or control the primary technology, because you'll get your head handed to you. We realized that for almost all future consumer electronics, the primary technology was going to be software. And we were pretty good at software" (Morris, 2008: 70).

Apple is nearly unique among contemporary technology companies in doing all of its own design in-house, at its Cupertino campus. Other companies have outsourced most or all of their product design function, relying on outsourced design manufacturers (ODMs) to develop the products that with minor adaptations will fit into their product lines. Apple, however, believes that having all the experts in one place – the mechanical, electrical, software, and industrial

engineers, as well as the product designers, leads to a more holistic perspective on product development; and that a critical mass of talent makes existing products better and opens the door to entirely new products. According to Jobs,:

... you can't do what you can do at Apple anywhere else. The engineering is long gone in the PC companies. In the consumer electronics companies they don't understand the software parts of it. There's no other company that could make a MacBook Air and the reason is that not only do we control the hardware, but we control the operating system. And it is the intimate interaction between the operating system and the hardware that allows us to do that. There is no intimate interaction between Windows and a Dell computer. (quoted in Morris, 2008)

The company's tightly knit proprietary system has been frequently seen as the reason for Apple's loss of initial momentum in the PC industry and increasing isolation until the mid 90s. According to Kahney, "When Jobs returned to Apple in 1997, he ignored everyone's advice and tied his company's proprietary software to its proprietary hardware" (Kahney, 2008: 142). He has persisted in following this strategy over the years even as other Silicon Valley firms were turning towards openness and interoperability. Tony Fadell, Vice President of engineering in the iPod division, notes that Apple aims to develop a self-reinforcing, synergistic system of products rather than a series of individual products: "The product now is the iTunes Music Store and iTunes and the iPod and the software that goes on the iPod. A lot of companies don't really have control, or they can't really work in a collaborative way to truly make a system. We're really about a system" (quoted in Grossman, 2005).

Over the years, there have been some notable exceptions to this proprietary approach. In order to reach a broader consumer base, in late 2003 Apple offered a Windows compatible version of iTunes allowing not only Windows users to use the iPod but more importantly to familiarize them with Apple products. Another milestone came with the company's switch from PowerPC processors made by IBM to Intel chips, a decision announced in mid-2005. This decision allowed Macs to run Windows software, implied lower switching costs for new Mac consumers and also allowed software developers to adapt more easily their programs for Apple. A previous alliance with Microsoft occurred in 1997 when Microsoft agreed to invest \$150 million in Apple, reaffirming its commitment to develop core products such as Microsoft Office for the Mac.

Other Strategic Moves

Apple has developed a series of strategic alliances in the course of its efforts to become the center of the digital hub, where digital content would be easily created and transferred to any Apple device. Development of the iPod, iTunes, and iPhone have necessitated this collaborative approach, since entry in the entertainment and consumer electronics markets would not have been as successful without some key strategic partners (for example the big record labels such as EMI, Sony BMG, Universal and Warner Brothers for iTunes, or YouTube for the iPhone). In this process of building systems, Apple has been very selective about its strategic partners. Rather than aiming for the most partners, Apple focuses on engaging with the best companies for a specific purpose (for example the partnership with Google in developing mapping and video applications for the iPhone).

At the same time Apple has proceeded with a number of acquisitions intended to strengthen its core competencies. For example, in 2002 it acquired the German specialist in music software, Emagic, as well as Prismo Graphics, Silicon Grail, and Nothing Real, three small companies involved in professional-level video creation and production. In April 2008 Apple also announced the acquisition of the boutique microprocessor company PA Semi, known for its highly sophisticated and low priced chips. With that acquisition Apple is said to be building the capability to bring its chip design in-house, reinforcing an ever more tightly knit ecosystem that helps to prevent copycat designs from rivals and offers the ability to design chips for supporting specific new products or applications. According to CEO Tim Cook (said at the time he was COO): “One traditional management philosophy that’s taught in many business schools is diversification. Well, that’s not us. We are the antibusiness school” (Burrows, 2004).

In 2001, Apple created a retail division to enable it to sell its products directly to the public. By 2012 there were 357 retail stores in 11 countries (245 in the USA) accounting for almost 20% of total revenues (Apple’s retail stores rose to 437 by 2014). In 2006 Apple entered into an alliance with Best Buy, and by the end of 2007 Apple products could be purchased in over 270 Best Buy stores (Yoffie and Slind, 2008). Being engaged at all parts of the value chain, including retail outlets, enabled Apple to shape the whole customer experience.

CORPORATE CULTURE AND ORGANIZATION DESIGN AT APPLE

Among the many amazing things about Apple is how scrutinized it is. Rarely have a company, its products, and its top executive – the late Steve Jobs – been so thoroughly examined. And yet, for a corporation so frequently discussed, Apple is poorly understood. Its products are ubiquitous, but information about the institution is scarce – which is exactly how Apple wants it. (Lashinsky, 2012)

Along with being one of the most innovative companies in the world Apple has also gained a reputation of being among the most secretive as well. A T-shirt for sale at the company shop said: “I visited the Apple campus. But that’s all I’m allowed to say.” Few people know what happens behind closed doors; Apple employees are bound with strict confidentiality agreements and it seems that only one person authorized to ever talk about Apple was Steve Jobs. His keynote speeches where he presented Apple’s newest products were kept under wraps until the last moment and were eagerly anticipated by consumers and media all over the world. The media coverage benefits were estimated at millions of dollars. Jobs’ keynotes diligently followed a set sequence: first astonishing growth figures for each target market, presented through clear and simple slices, and then Jobs would present Apple’s new product just by saying “oh and one more thing,” followed by “cool, eh?!” The focus was on the product’s usability, design, and simplicity.

Secrecy in terms of product launches was deemed necessary not only for generating hype but also for ensuring that the expectation of a new version of a product wouldn’t cannibalize sales of the current version too much; and for keeping competitors guessing for as long as possible.

New recruits were not only warned that the penalty for revealing Apple secrets would be swift termination, but were also hired in so-called dummy positions, roles that remained unspecified until the hiring was complete. As a former employee describes:

There were just these things that were kept very, very secret. There was a project we were working on where we put in special locks on one of the floors and put up a couple of extra doors to hide away a team that was working on stuff. You had to sign extra-special agreements acknowledging that you were working on a super-secret project and you wouldn't talk about it to anyone – not your wife, not your kids. (Lashinsky, 2012)

Before discussing a topic at a meeting all members would need to verify that they were “disclosed” on it, meaning they had been granted the permission to discuss it. The whole organization was thus comprised of smaller pieces of a bigger puzzle, which was in turn only known to the highest levels. This secretive approach was compared by analysts to terrorist organizations' cellular structure, which protects the organization from potential vulnerability if its individual members or groups are compromised (Lashinsky, 2012).

Apart from ensuring confidentiality, other aspects of Apple's organizational design provide the necessary agility and focus. Small teams bear responsibility for crucial projects, a characteristic that is reminiscent of startup companies. For example, only two engineers were said to have written the code for converting Apple's Safari browser for the iPad, a big and painstaking project (Lashinsky, 2011). Committees are not prevalent at Apple. As Jobs (2010) mentioned:

We are organized as a startup. One person is in charge of iPhone OS software, one person is in charge of Mac hardware, one person is in charge of iPhone hardware engineering, another is in charge of worldwide marketing, another person is in charge of operations. We are organized like a startup. We are the biggest startup on the planet. And we all meet for three hours once a week and we talk about everything we are doing, the whole business. ... Every Monday we review the whole business. We look at every single product under development. I put out an agenda. Eighty percent is the same as it was the last week, and we just walk down it every single week. We don't have a lot of process at Apple, but that's one of the few things we do just to all stay on the same page. (Lashinsky, 2011)

Every Wednesday there would also be a marketing and communications meeting. Meetings would involve an action list next to which there was the name of the DRI, or directly responsible individual. In this meeting there are frank discussions between Apple employees at various levels. As a former Apple designer mentioned, “on a regular basis you either get positive feedback or are told to stop doing stupid shit” (Lashinsky, 2011).

The Top 100 team was a group of the 100 most influential employees from all ranks that would meet annually and discuss key strategic issues regarding the present and future of the company. The three-day intensive strategy session took place in a secret location, outside the company and even its existence was a well-kept secret for Apple. Members of the Top 100 team were not allowed to put the date down on their calendars, nor drive themselves to the meeting. Instead a company bus, leaving from Cupertino headquarters would take the team to places like the Chaminade Resort and Spa in Santa Cruz, which met two of Jobs prerequisites: good food and no golf. During the course of the event, the Top 100 team would discuss Apple's next steps and new products under development. Position in the hierarchy did not guarantee attendance;

as Jobs said, “that doesn’t mean they’re all vice presidents. Some of them are just key individual contributors. So when a good idea comes ... part of my job is to move it around ... get ideas moving among that group of 100 people” (Lashinsky, 2011).

In addition to secrecy and a start-up mentality, Apple’s culture focused on intense work, creativity, and perfectionism, combined with a rebel spirit. For many years, Jobs stimulated thinking out of the box and encouraged employees to experiment and share with others “the coolest new thing” they had thought of. It may not be accidental that Apple’s emblem of corporate culture is a pirate flag with an Apple rainbow colored eye patch, designed after a famous Jobs quote: “It’s better to be a pirate than join the navy.” This flag was hanging over the Macintosh building as Apple’s team was working on the first iMac, to act as a reminder of their mission (Grossman, 2005).

Along with the rebel spirit, Apple had a tradition of long working hours and relentless pursuit of perfection. Each manufacturing and software detail was worked and reworked until a product was considered perfect, aiming for seamless integration of software and hardware. Apple’s engineers spent so much time on each product that they were able to foresee and respond to any possible difficulties a consumer might encounter when using it:

It’s because when you buy our products, and three months later you get stuck on something, you quickly figure out [how to get past it]. And you think, “Wow, someone over there at Apple actually thought of this!” And then six months later it happens again. There’s almost no product in the world that you have that experience with, but you have it with a Mac. And you have it with an iPod. (Jobs, quoted in Burrows, 2004)

Apple’s employees were not paid astronomically. They were not pampered, nor did they enjoy unique privileges beyond what most large companies offered. They were talented people with passion for excellence, proud to be part of the Apple community. This pride stemmed from a corporate culture that fostered innovation and a sense of Apple’s superiority against competitors, as a company that could shape the future of technology. Apple recruited talent of the highest caliber, and Jobs often approached and recruited people known as the best in their fields. Specialization and clear specification of responsibilities at Apple was a way of employing the best people for particular roles, reflecting Jobs’ aversion towards a general management approach (Lashinsky, 2011).

During their first day at Apple, new employees did not get instructions on how to connect their computer to the network. The assumption was that having been hired at a technology company they would know how to do it themselves; and in the process would get a chance to meet others and blend into Apple. An informal iBuddy program provided support in the early stages of a new employees’ entry into the company (Lashinsky, 2012). According to Gus Mueller, founder of a software development firm that develops software for Apple, “Apple only hires top-notch folks. I know a number of people there, and they are all super smart and creative. I don’t know a single person who shouldn’t be there” (*Guardian*, 2008). Debate is an important aspect of how great products get developed. As Jobs noted, “we have wonderful arguments. If you want to hire great people and having them stay working for you, you have to let them make a lot of decisions and you have to be run by ideas. Not hierarchy. The best ideas have to win. Otherwise good people don’t stay” (Jobs, 2010).

For Apple employees this experience was both daunting and fascinating: “If you’re a die-hard Apple geek, it’s magical. It’s also a really tough place to work” (Lashinsky, 2012). Contrary to

Google's infamous relaxed atmosphere, Apple is known for being tough and perfectionist. If any product release does not meet expectations, Apple can be a "brutal and unforgiving place, where accountability is strictly enforced" (Lashinsky, 2011).

Apple's Organization Design

Apple's organization design was flat and simple. Even though Apple did not have an official organization chart, one interpretation of its design was that the organization radiated around Jobs, with 15 Senior Vice Presidents and 31 Vice Presidents overseeing the main functions (see Figure 13.2). In terms of this structure, Jobs would only be two levels away from any key part of the company; and financial management was centralized, with the only executive responsible for costs and expenses being the Chief Financial Officer. Jobs aimed for simplicity in the company structure as an enabler of the ability to be agile and successfully engage in the "deep collaboration" model. As an observer said: "Processes lead according to Jobs to efficiency, not innovation nor new ideas. These come from people meeting up in the hallways, calling each other in the middle of the night to share a new idea or the solution to a long thought as unsolved problem" (Grossman, 2005).

Jobs described this structure as one based on teamwork and trust:

There is tremendous team work at the top of the company, which filters down to tremendous team work throughout the company. And teamwork is depended on trusting the other folks to come through with their part, without watching them all the time ... and that's what we do really well. And we are great at figuring out how to divide things up into these great teams that we have, all work on the same thing, touch bases frequently, and bring it all together into a product. We do that really well. And so what I do all day is meet with teams of people. And work on ideas and solve problems to make new products, new marketing programs or whatever.... (Jobs, 2010)

Despite advantages of flexibility and focus, the tight, CEO-centric organization structure built around Jobs' leadership raised concerns in terms of whether it could remain as successful under a different CEO (Waters, 2012).

STEVE JOBS' LEADERSHIP

Some leaders push innovations by being good at the big picture. Others do so by mastering details. Jobs did both, relentlessly. (Isaacson, 2011)

When Jobs returned to Apple in 1997 after an absence of 12 years, he arrived with much historical baggage. He was Apple's co-founder at the age of 21, and was worth \$200 million by the age of 25. He was then forced to resign by the age of 30, in 1985, after a battle over control with CEO John Sculley, which ended with Jobs losing all operational responsibilities. Jobs (who had been executive VP and General Manager of the Macintosh division) was considered a threat to the company, accused of trying to "play manager" and control areas over which he had no jurisdiction. He was considered "a temperamental micromanager whose insistence on total control and stylish innovation had doomed his company to irrelevance" (Burrows and Grover, 2006).

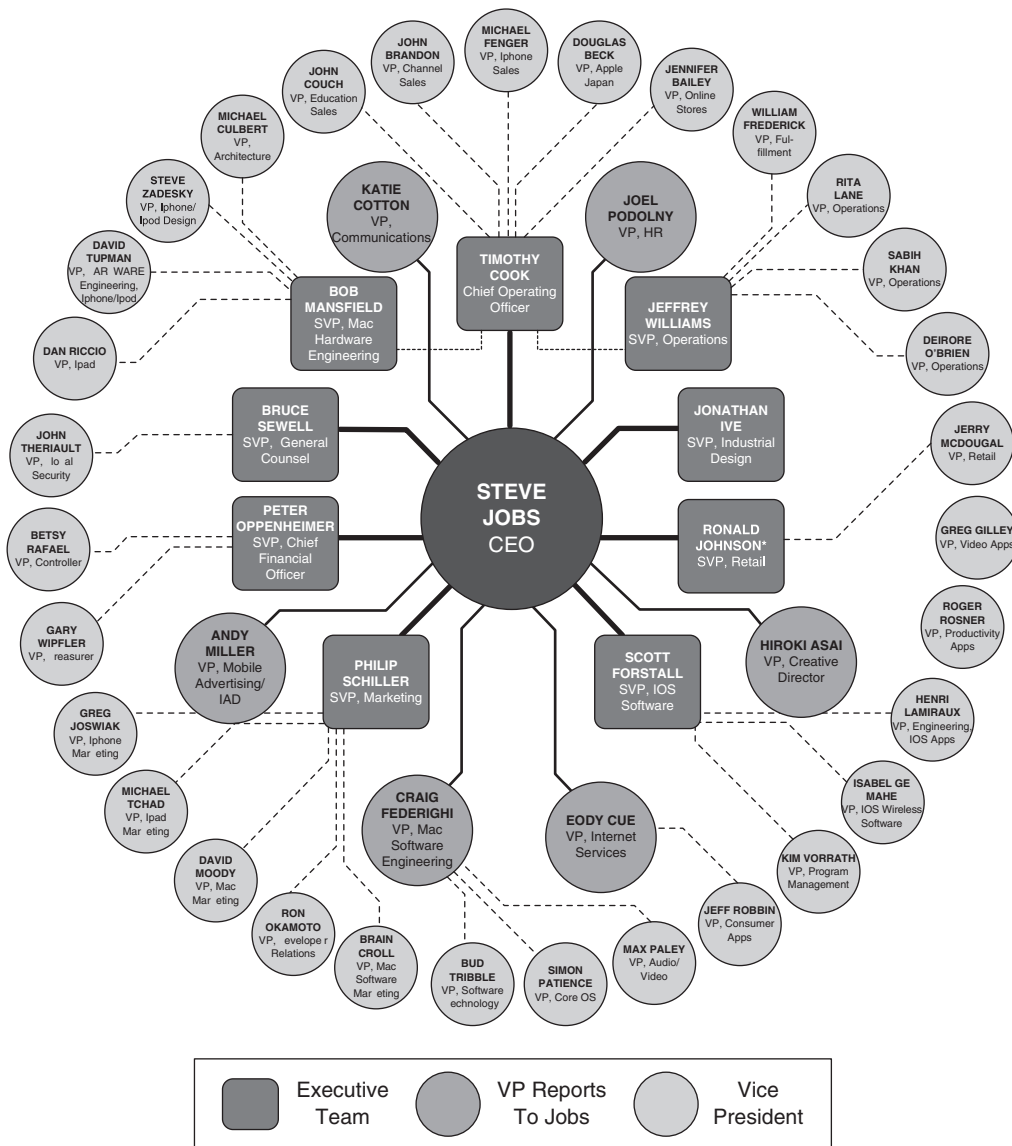


FIGURE 13.2 Apple organizational chart, Fortune 2011

Source: Lashinsky (2011).

Twenty-three years later, however, Jobs was voted as one of the greatest entrepreneurs of all time by *Business Week* (Tozzi, 2007), and the World's Best CEO by *Harvard Business Review* in 2010 (Hansen et al., 2010). His leadership style and values left a mark on Apple in a way that only a few leaders had achieved, making his name synonymous with the company, its remarkable

turnaround, and its groundbreaking innovations. Described by his colleagues as brilliant, powerful, and charismatic, he could also be a demanding and impulsive perfectionist. As Jobs puts it: “My job is not to be easy on people. My job is to take these great people we have and to push them and make them even better. How? Just by coming up with more aggressive visions of how it could be” (quoted in Morris, 2008: 70).

Jobs’ control-orientation was reflected in the tight integration of hardware and software. According to insiders, he was opposed to using any sort of unauthorised applications or external software in Apple products. Everything was to be designed by and follow Apple’s standards of user-friendliness, excellence and simplicity. As Jobs explained, “We do these things not because we are control freaks ... We do them because we want to make great products, because we care about the user and because we like to take responsibility for the entire experience rather than turn out the crap that other people make.” (Isaacson, 2011)

Many believe that Jobs’ achievement of being regarded as one of the greatest technology entrepreneurs is not based so much on his knowledge of technology (he was not an engineer or a programmer, neither did he have an MBA or college degree) but on his innate instinct for design, the ability to choose the most talented team and “the willingness to be a pain in the neck for what matters for him most” (Grossman, 2005). With regard to the iMac, for example, a product concept he and Jonathan Ive, Head of Design had envisioned, the engineers were initially sceptical: “Sure enough, when we took it to the engineers, they said, ‘Oh.’ And they came up with 38 reasons. And I said, ‘No, no, we’re doing this.’ And they said, ‘Well, why?’ And I said, ‘Because I’m the CEO, and I think it can be done.’ And so they kind of begrudgingly did it. But then it was a big hit.” (Grossman, 2005). Jobs was cited as “co-inventor” on 103 Apple patents (Elkind, 2008).

Jobs could be both inspirational, but also experienced by employees as scary. According to Guy Kawasaki, former chief evangelist at Apple:

Working for Steve was a terrifying and addictive experience. He would tell you that your work, your ideas, and sometimes your existence were worthless right to your face, right in front of everyone. Watching him crucify someone scared you into working incredibly long hours. ... Working for Steve was also ecstasy. Once in a while he would tell you that you were great and that made it all worth it. (Cruikshank, 2006: 147)

Apart from displaying such behaviors as parking his car in handicapped places and publicly losing his temper, Jobs often made his employees burst into tears through direct and personal criticism. Robert Sutton, management professor at Stanford, discussed Steve Jobs in his book *The No Asshole Rule*, in the chapter on the virtues of assholes (Sutton, 2007). Sutton then reflected further on his discussion of Steve Jobs in his blog, suggesting that Jobs might be mellowing as he got older (Sutton, 2008). Yet, according to Palo Alto venture capitalist Jean-Louis Gasse, a former Apple executive who once worked with Jobs, “Democracies don’t make great products. You need a competent tyrant” (Gasse, quoted in Elkind, 2008).

The high praise as well as high criticism made people try harder, jump higher, and work later into the night. Jobs is credited with imposing discipline on Apple, a quality that the company had lacked for years. The company that used to be known as the “ship that leaks from the top” (Linzmayr, 2004) due to its relaxed management style and corporate culture was soon transformed into a tightly controlled and integrated machine after Jobs’ arrival. At Pixar, things

were seen differently than at Apple, however. Reportedly Jobs spent less than a day per week there, and was hands off, particularly on the creative front. According to a Pixar employee, “Steve doesn’t tell us what to do ... Steve’s our benevolent benefactor” (quoted in Burrows and Grover, 2006).

Jobs’ charisma was depicted in the way he briefed his team concerning a new product: “Even though Steve didn’t draw any of the lines, his ideas and inspiration made the design what it is. To be honest, we didn’t know what it meant for a computer to be ‘friendly’ until Jobs told us” (Terry Oyama, quoted in Cruikshank, 2006: 30). As author Scott Kelby put it:

There is one thing I am certain of: Steve’s the right man to lead Apple. There’s never been anyone at Apple who has had the impact that Steve has since his return. He may be a tyrant, demanding, unforgiving and the worst boss ever. But he is also a visionary. A genius. A man who gets things done. And the man who kept Apple afloat when a host of other nice guys couldn’t. (Cruikshank, 2006: 175)

Jobs brought his own brand of strategic thinking to Apple; based on personal intuition and understanding of technology trends:

The clearest example was when we were pressured for years to do a PDA, and I realized one day that 90% of the people who use a PDA only take information out of it on the road. Pretty soon cell phones are going to do that so the PDA market’s going to get reduced to a fraction of its current size. So we decided not to get into it. If we had gotten into it we wouldn’t have the resources to do the iPod. (quoted in Morris, 2008: 69)

Jobs understood that to be different as a company, you have to make tough choices; in Apple’s case, this was clearly reflected in the product-markets it decided to pursue, as compared for example to large competitors. Referring to Apple’s focus, he noted “I’m as proud of what we don’t do as I am of what we do” (quoted in Burrows and Grover, 2006).

Preparing Apple for the post-Jobs era

Jobs’ immense influence on Apple had given pause for skepticism regarding Apple’s future without him. As *Fortune* magazine’s editor Elkind noted: “In the 26 years that *Fortune* has been ranking America’s Most Admired Companies never has the corporation at the head of the list so closely resembled a one-man show” (Elkind, 2008). After the onset of pancreatic cancer in 2003 and an operation to address it in 2004, by 2009 Jobs’ health was again deteriorating. In January 2009 he announced that he was taking leave of absence from Apple until June, due to health issues relating to a “hormone imbalance.” COO Tim Cook would handle day-to-day operations, and Jobs would stay involved in major strategic decisions. Commentators disagreed on the degree of impact Jobs’ absence would have. Some said that the new products Apple would introduce over the following 18 months had already been developed, and that Cook would manage Apple effectively in Jobs’ absence. Others, however, believed that Jobs’ motivational role, negotiation skills, and creative vision were crucial for Apple and therefore Jobs’ absence would adversely affect the company (Macworld, 2009). Another medical leave followed in 2011, and in August 2011 Jobs resigned from his position as CEO, and Tim Cook,

former COO, was appointed as CEO. In his letter of resignation he wrote: “I have always said if there ever came a day when I could no longer meet my duties and expectations as Apple’s CEO, I would be the first to let you know. Unfortunately, that day has come” (Primack, 2011). He remained at Apple as Chairman, until his passing in October 2011. Cook’s leadership role in Apple’s operations since 1998 had given him a deep understanding of the company and a prominent position, being the only person to have a vast area of responsibility apart from Jobs and the one who replaced him during his medical absences.

During his last few years in the company Jobs wanted to make sure that the company’s core values (the relentless perfectionism, the focus on design, the close cross-functional collaboration, and constant feedback loops), for which he so passionately fought, would guide Apple in his absence. In 2008, Jobs created the Apple University and personally hired Joel Podolny, then Dean of the Yale School of Management, who led a team of business professors to create a series of case studies on Apple’s critical points in its history. These cases described strategic issues such as Apple’s retail strategy and its iPhone supply chain strategy; and how Apple executives took decisions at these points. The cases aimed at training and preparing the next generation of Apple executives; as well as inculcating Apple’s values and DNA to future executives (Lashinsky, 2011).

Many agreed that Jobs had built around him a team of competent, high-performing individuals who shared the same values and working style and could continue along the same lines in his absence (Snell, 2009). According to observers, Jobs’ most important achievement was to make an entire company act and think like himself (McCracken, 2011b): “You can ask anyone in the company what Steve wants and you’ll get an answer, even if 90% of them have never met Steve” (Lashinsky, 2011). In the end, Jobs’ greatest achievement may not have been the design of the iMac, the iPod, the iPhone, or the iPad, but the design of Apple Inc. itself.

ENTERING A NEW APPLE ERA

Upon becoming Apple’s CEO, Tim Cook maintained a low profile and focused on managing the transition to the post-Jobs era as smoothly as possible. He sent the following email to Apple employees to reassure them that he would remain faithful to Apple’s DNA:

I want you to be confident that Apple is not going to change. I cherish and celebrate Apple’s unique principles and values. Steve built a company and culture that is unlike any other in the world and we are going to stay true to that — it is in our DNA. We are going to continue to make the best products in the world that delight our customers and make our employees incredibly proud of what they do. (in Cheng, 2011)

Apart from being a known workaholic who would begin emailing his colleagues at 4:30am or arrange meetings at any time of the day, little was known about the man who stood behind Jobs for almost 14 years. Observers noted, however, that Cook appeared to be more collegial than Jobs, giving much air time during his first keynote speech to his team: “the one thing about Apple that will change going forward is that we are not going to see one person representing himself as the physical manifestation of all Apple” (Menn and Dembosky, 2011). Contrary to the flamboyant personality of his predecessor, Cook was characterized as a “quiet, soft-spoken,

low-key executive” and “the yin to Jobs’ yang” (Friedman, 2011); but also as demanding and unemotional (Lashinsky, 2008).

Cook was recognized for his unprecedented discipline and focus on raising efficiency and market reach at Apple, having made some drastic decisions including closing down most of Apple’s manufacturing plants, streamlining logistics, and pushing sales towards high-end retail outlets (Johnson, 2011). He was a strong believer in maintaining minimum inventory: “You kind of want to manage it like you’re in the dairy business, if it gets past its freshness date, you have a problem” (quoted in Lashinsky, 2008).

During his first few months as CEO Cook announced the company’s highest quarterly revenue in Apple’s history for the first quarter of fiscal year 2012. With record quarterly revenues of \$46.3bn and record sales of 37 million iPhone units and 15.4 million iPad units (Apple, 2012), Apple showed that its momentum was not only going strong, but also increasing. By March 2012, Apple’s cash and liquid assets exceeded \$100bn; a third of which was held in the USA, and two thirds overseas, managed by an Apple subsidiary, Braeburn Capital, based in Nevada. For the first time in 17 years, Apple announced in early 2012 that it would return money to shareholders through dividends and share buybacks amounting to \$45bn. Even so, it was estimated that its cash hoard would rise to over \$200bn by the end of 2014 (Duke, 2012). Apple’s cash and liquid assets stood at \$155bn in September 2014.

Despite record profits, by 2014 Apple was facing new challenges: one was the effects of leadership transition, with many observers wondering whether Apple could retain its distinct culture and set of capabilities after Jobs, particularly its ability to redefine markets with groundbreaking offerings. Further, in the smartphone market Apple was facing a strong alternative technology in terms of Google’s Android system. High-quality hardware, which many believed were as good as the iPhone, were available from Samsung, such as the Samsung Galaxy. Amazon’s Kindle was improving with subsequent releases.

Apple was competing in a technology industry where many companies, inspired by Apple’s own model, started to move away from single devices and specialization towards mobile connectivity and interconnected service offerings. The benefits of the ecosystem approach were obvious, but there were also potential costs, that customers however seemed to not care too much about. According to an observer, Apple offers “beautiful hardware and intuitive software that, most of the time, is even more of a joy to use than it is to look at. The downside, ... is that you are utterly in its hands: if you change your mind, there is no easy way out of Apple’s system.” (Greene, 2010)

After Jobs’ passing, Apple continued to have outstanding financial performance. By early 2015, however, it had not introduced another groundbreaking product along the lines of the iPod, iPhone, or iPad. The Apple Watch was about to be launched, but there were several question marks about its ability to reach the kind of revenue figures that would make a difference to Apple’s total revenues of \$182bn in 2014. Analysts were wondering whether Apple would be able to sustain its innovation magic now that its chief architect had gone? Was Apple’s operating model better understood by competitors and in danger of imitation? Was Apple making the best use of its enviable cash hoard? Could it keep delivering blockbuster products, which would result in the level of growth and profit performance that markets expected? Was Apple’s huge size becoming a liability? What should Apple do differently, if anything, to address its strategic challenges and sustain its exceptional performance to date?

TABLE 13.1 Apple Inc Consolidated Financial Statements

	Years ended		
	September 27, 2014	September 28, 2013	September 29, 2012
Net sales	\$ 182,795	\$ 170,910	\$ 156,508
Cost of sales	112,258	106,606	87,846
Gross margin	70,537	64,304	68,662
Operating expenses:			
Research and development	6,041	4,475	3,381
Selling, general and administrative	11,993	10,830	10,040
Total operating expenses	18,034	15,305	13,421
Operating income	52,503	48,999	55,241
Other income/(expense), net	980	1,156	522
Income before provision for income taxes	53,483	50,155	55,763
Provision for income taxes	13,973	13,118	14,030
Net income	\$ 39,510	\$ 37,037	\$ 41,733
Earning TRANS share			
Basic	\$ 6.49	\$ 5.72	\$ 6.38
Diluted	\$ 6.45	\$ 5.68	\$ 6.31
Shares used in computing earnings per share:			
Basic	6,085,572	6,477,320	6,543,726
Diluted	6,122,663	6,521,634	6,617,483
Cash dividends declared per common share	\$ 1.82	\$ 1.64	\$ 0.38

Source: Apple Inc Annual Report, 2014 (000,000's)

TABLE 13.2 Apple Net Sales by Operating Segment

	2014	Change	2013	Change	2012
Net sales by Operating Segment:					
Americas	\$ 65,232	4%	\$62,739	9%	\$ 57,512
Europe	40,929	8%	37,883	4%	36,323

	2014	Change	2013	Change	2012
Net sales by Operating Segment:					
Greater China	29,846	17%	25,417	13%	22,533
Japan	14,982	11%	13,462	27%	10,571
Rest of Asia Pacific	10,344	(7)%	11,181	4%	10,741
Retail	21,462	6%	20,228	7%	18,828
Total net sales	\$ 182,795	7%	\$170,910	9%	\$ 156,508
Net sales by product:					
iPhone ⁽¹⁾	\$101,991	12%	\$ 91,279	16%	\$ 78,692
iPad ⁽¹⁾	30,283	(5)%	31,980	3%	30,945
Mac ⁽¹⁾	24,079	12%	21,483	(7)%	23,221
iPod ⁽¹⁾	2,286	(48)%	4,411	(21)%	5,615
iTunes, Software and Services ⁽²⁾	18,063	13%	16,051	25%	12,890
Accessories ⁽³⁾	6,093	7%	5,706	11%	5,145
Total net sales	\$ 182,795	7%	\$170,910	9%	\$156,508
Unit Sales by Product:					
iPhone	169,219	13%	150,257	20%	125,046
iPad	67,977	(4)%	71,033	22%	58,310
Mac	18,906	16%	16,341	(10)%	18,158
iPod	14,377	(45)%	26,379	(25)%	35,165

Source: Apple Inc Annual Report, 2014 (000,000's)

TABLE 13.3 Timeline of Apple's Chief Executive Officers

1977–1981	Michael Scott
1981–1985	Mike Markkula
1985–1993	John Sculley
1993–1996	Michael Spindler
1996–1997	Gil Amelio
1997–2000	Steve Jobs (Interim CEO)
2000–2011	Steve Jobs
2011–	Timothy Cook

Source: Authors.

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